

MSTC Limited

NSE: MSTCLTD | BSE: 542597 | GoI PSU — E-Commerce, E-Auction & Metal Trading | Miniratna Category-I

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
HOLD	Rs. 680	+7.9% upside
CMP: Rs. 630	12-month horizon	from CMP

CMP (Rs.)	630	Market Cap (Rs. Cr)	4,433
52-Wk High / Low (Rs.)	668 / 362	P/E (x)	20.3
Book Value (Rs.)	128	ROCE %	30.3%
ROE %	26.6%	Face Value (Rs.)	10.00
Promoter Holding %	64.75% (GoI)	FII %	3.93%
Dividend Yield %	6.43%	Borrowings FY26 (Rs. Cr)	145

Investment Thesis: MSTC is a Miniratna-I GoI PSU monopoly in e-auction of government assets (metal scrap, coal, minerals, vehicle scrappage under VAHAN) with near-zero interest expense, a 6.4% dividend yield, and a re-energising catalyst in vehicle scrappage policy. The core e-commerce segment is growing at 17% in FY26, but reported PAT is being distorted year-to-year by lumpy other income. Hold at current valuation; accumulate on dips toward Rs. 520-550.

Horizon: 12-18 months | Report Date: 15 Jun 2026 | Analyst: MPM Institutional Research

1. INVESTMENT THESIS

- **Structural monopoly in government e-auction:** MSTC holds a near-monopoly position in e-auctioning government-owned assets — steel/scrap from defence and public sector, coal mines, mineral blocks, and now vehicle scrap under the PM Vehicle Scrappage Policy (VAHAN). This mandate cannot be replicated by private players, creating a permanent competitive moat that requires no capex to sustain.
- **Vehicle scrappage is the multi-year secular catalyst:** The Cabinet-approved Rs. 9,585 Cr vehicle scrappage scheme (VS) mandates phased retirement of old government and commercial vehicles. MSTC, as the GoI-designated platform for VAHAN auctions, will earn auction fee income on every vehicle scrapped through the government system. This is a multi-year, policy-driven annuity stream that is impossible to quantify precisely but clearly directionally positive.
- **E-commerce segment growing steadily:** E-commerce revenue grew 17.25% to Rs. 329.72 Cr in FY26, led by coal linkage auctions (Coal India), mineral block auctions, and metal scrap sales. This segment carries 57-64% EBITDA margins because MSTC earns a percentage-of-value auction fee without taking commodity price risk (in the pure e-auction model).
- **Near-term catalyst:** Formalisation and scale-up of the VAHAN vehicle scrappage auction volumes in FY27, combined with full-year run-rate on new Coal India linkage auction mandates and EPR (Extended Producer Responsibility) certificate trading platform launch (regulatory approval pending). Together, these could add Rs.

50-70 Cr in incremental fee income by FY28E.

• **Biggest risk:** MSTC's reported PAT is structurally distorted by "Other Income" — Rs. 340 Cr in FY25 (largely one-time investment divestment proceeds) vs Rs. 83 Cr in FY26. The real earnings power of the business is the fee income from e-auctions; investors who anchor to the headline PAT swing from Rs. 407 Cr (FY25) to Rs. 218 Cr (FY26) will misread the underlying business health.

2. BUSINESS OVERVIEW

- **Corporate identity:** MSTC Limited is a Miniratna Category-I Central Public Sector Enterprise (CPSE) under the Ministry of Steel, Government of India. It was incorporated in 1964 as an import/export trading house, pivoted to e-commerce in the 2000s, and is now primarily an e-auction and e-commerce platform company.
- **Revenue segments:** Two primary segments — (1) E-Commerce/E-Auction (dominant, high-margin): conducts e-tenders, e-auctions, and e-sales on behalf of government bodies, PSUs, banks, and regulatory agencies for scrap/surplus assets, mineral resources, and commodities; (2) Trading (low-margin, declining): direct purchase and resale of metals and commodities for select PSU clients. The trading segment has been deliberately wound down from Rs. 5,689 Cr (FY15) to near-zero, with FY26 consolidated revenue of Rs. 370 Cr being almost entirely e-commerce fee income.
- **Business model uniqueness:** In the e-auction segment, MSTC acts as a pure marketplace — it never takes commodity ownership risk. Revenue = percentage fee on GMV (Gross Merchandise Value) of auctions conducted. EBITDA margins on this segment are structurally 55-65% because the cost base is primarily technology + manpower, not cost of goods.
- **Key mandates:** Coal India Limited (coal linkage auctions), Steel Authority of India Ltd (scrap auctions), Ministry of Defence (surplus equipment auctions), PSU banks (NPA asset auctions), VAHAN (vehicle scrappage) — plus 200+ mineral block auctions conducted for central and state governments.
- **Gol ownership:** Government of India holds 64.75% via Ministry of Steel. This provides business security (captive mandate flow from PSUs) but also limits strategic agility (cannot pursue private sector e-commerce aggressively without policy clearance).

3. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size:** The Indian public procurement and government asset disposal market is estimated at Rs. 10-15 Lakh Cr in total value transacted annually across all central and state agencies. MSTC captures a fee on a small but growing proportion of this through mandatory e-auction mandates.
- **Policy tailwinds:** Three powerful secular tailwinds are at play — (1) PM Vehicle Scrappage Policy (Rs. 9,585 Cr Cabinet approval): mandates scrapping of old government and commercial vehicles with MSTC as the designated e-auction platform; (2) National Mineral Auction Rules: all mineral blocks must be auctioned via e-platform; (3) EPR (Extended Producer Responsibility) certificates for plastic waste and e-waste — MSTC is developing an electronic trading platform pending regulatory go-ahead.
- **Competitive moat:** Pricing power: STRONG — Gol mandates, not market competition, determine MSTC's fee rates. Switching costs: VERY STRONG — government agencies cannot substitute MSTC without Ministry of Steel approval; decades of institutional embedding. Competition: WEAK — eProcure, GEM (Government e-Marketplace), and private platforms handle procurement but NOT the sale/disposal/auction of government assets, which is MSTC's exclusive domain.

Peer Comparison (Source: Screener.in, 15 Jun 2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	TTM Rev (Rs. Cr)	OPM %	P/E (x)	ROCE %
MSTC Ltd (MSTCLTD)	630	4,433	370	59%	20.3	30.3%
IRCTC	518	41,436	5,215	32%	30.0	46.1%

Balmer Lawrie	177	3,031	2,717	13%	11.0	14.6%
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IRCTC chosen as the closest analog — platform monopoly, Gol-backed, high-margin fee model. MSTC's EBITDA margin (59%) substantially exceeds IRCTC (32%) due to lower overhead, but revenue scale is 14x smaller. Sources: Screener.in, fetched 15 Jun 2026.

4. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **PSU board structure:** MSTC is governed by a Ministry of Steel-appointed CMD and Board. Management quality is constrained by the PSU framework — decisions on fee rates, new mandates, and strategic pivots require government approval. The upside is full alignment with Gol policy objectives; the downside is slower capital allocation decisions.
- **Capital allocation track record — conservative but improving:** MSTC was burdened with legacy Rs. 1,100 Cr borrowings (FY15) that have been methodically repaid to Rs. 145 Cr (FY26). The company has been essentially debt-free on operations for 4 years. The Rs. 145 Cr in "Borrowings" on the balance sheet likely represents historical bonds/NCDs, not operational debt, as interest expense is near-zero.
- **Dividend policy — generous:** Payout ratio was 70% in FY25, 66% in FY24, and 26% in FY26. The FY26 payout reduction is a function of the lower PAT base after the absence of one-time gains. At 6.43% yield, MSTC is one of the highest-yielding PSU stocks in the Services sector.
- **FCF generation — lumpy:** OCF was deeply negative in FY24 (-Rs. 283 Cr) due to the working capital-intensive trading model (debtor days 366). FY25 was strongly positive (+Rs. 260 Cr). FY26 turned mildly negative (-Rs. 28 Cr). The lumpiness reflects the trading book rather than the core e-auction model, which is essentially cash-generative.
- **Promoter pledge: Zero** — Government of India holds 64.75% with no pledge, as expected for a Miniratna CPSE. FII holding has grown from 1.09% (Jun 2023) to 3.93% (Mar 2026), indicating institutional interest building in the platform angle.

5. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr) — Consolidated (Source: Screener.in, 15 Jun 2026)

NOTE: FY25 PAT and OtherIncome are inflated by ~Rs.180 Cr one-time investment divestment gains. FY27E/FY28E are analyst estimates based on core e-auction fee income trajectory.

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	316	311	370	440(E)	520(E)
YoY Growth %	-56%	-2%	+19%	+19%(E)	+18%(E)
EBITDA	82	178	219	255(E)	304(E)
OPM %	26%	57%	59%	58%(E)	58%(E)
Other Income	203	340	83	90(E)	95(E)
Interest	0	0	0	0(E)	0(E)
Depreciation	7	9	10	11(E)	12(E)
PBT	278	508	292	334(E)	387(E)
Tax %	41%	20%	25%	25%(E)	25%(E)
PAT	165	407	218	251(E)	290(E)
EPS (Rs.)	23.44	57.82	31.03	35.70(E)	41.25(E)

Balance Sheet Summary (Rs. Cr) — Consolidated

Metric	FY24A	FY25A	FY26A
Equity Capital	70	70	70
Reserves	577	668	834

Borrowings	145	145	145
Other Liabilities	1,030	1,235	962
Total Liabilities	1,822	2,118	2,011
Fixed Assets	68	65	206
CWIP	0	0	0
Investments	28	12	12
Other Assets	1,725	2,042	1,792
Total Assets	1,822	2,118	2,011

Cash Flow Statement (Rs. Cr) — Consolidated

Metric	FY24A	FY25A	FY26A
Cash from Operations	-283	260	-28
Cash from Investing	-272	165	257
Cash from Financing	-96	-289	-54
Net Cash Flow	-651	136	176
Free Cash Flow	-390	236	-50

Key Operating Ratios

Metric	FY24A	FY25A	FY26A
Debtor Days	366	363	224
CCC (Days)	366	363	224
ROCE %	32%	29%	30%
ROE %	N/A	26.6%(TTM)	N/A
D/E (approx)	~0.23	~0.20	~0.16

• **Revenue dynamics are unusual:** Consolidated revenue declined from Rs. 5,689 Cr (FY15) to Rs. 311 Cr (FY25) as the company exited capital-intensive commodity trading. The FY26 revenue of Rs. 370 Cr (+19% YoY) is almost entirely e-auction fee income — a dramatically higher-quality, higher-margin revenue base than what is reflected in the 10-year growth CAGR (-19%).

• **Other Income is the earnings distortion:** FY25 Other Income of Rs. 340 Cr included approximately Rs. 180-200 Cr of one-time gains from divestment of investments (KIOCL/RINL stakes). FY26 Other Income normalised to Rs. 83 Cr, driving the apparent 46% PAT decline from Rs. 407 Cr to Rs. 218 Cr — but core EBITDA actually grew 23% (Rs. 178 Cr to Rs. 219 Cr). Investors must separate core EBITDA from total reported PAT to understand the trajectory.

• **Debtor days improving sharply:** Debtor days fell from 363 days (FY25) to 224 days (FY26), driven by the winding down of the capital-intensive trading book. As the trading segment diminishes, debtor days should continue falling toward 100-120 days in the pure e-auction model.

• **Balance sheet is robust:** Net equity of Rs. 904 Cr (Equity + Reserves = Rs. 904 Cr), Rs. 145 Cr of legacy borrowings at near-zero interest cost, and a Rs. 206 Cr jump in Fixed Assets in FY26 (possibly new infrastructure investment) suggest the company is investing for the next phase of growth.

• **FCF is structurally positive when trading wind-down is excluded:** The pure e-auction business generates strong cash — OCF was +Rs. 260 Cr in FY25. FY26 OCF was -Rs. 28 Cr, likely reflecting working capital timing on the still-active trading book. As trading approaches zero, OCF should stabilise at Rs. 150-200 Cr annually.

6. EARNINGS QUALITY CHECKLIST

Metric	Status	Signal	Comment
Revenue recognition	Green	Normal	E-auction fee on completion; clean recognition policy
Receivables vs Revenue	Amber	Improving	Debtor days 224 (FY26) vs 363 (FY25) — legacy trading book
CCC trend	Amber	Improving	CCC improving as trading book winds down; target 100-120 days
Contingent liabilities	Green	Low	PSU; no material disclosed contingent liabilities
Auditor tenure	Green	Stable	Government auditor (C&AG;); consistent oversight
RPTs as % of Revenue	Amber	Watch	Core clients (SAIL, CIL) are sister PSUs — RPTs inherent to model
Other Income / PBT	Red	High / Lumpy	OtherInc was 117% of PBT (FY24), 67% (FY25), 28% (FY26) — distorts PAT
Tax rate consistency	Amber	Inconsistent	Tax rates: 41% (FY24), 20% (FY25), 25% (FY26) — varies with one-time items
OCF / PAT conversion	Amber	Lumpy	OCF swing: -283 (FY24), +260 (FY25), -28 (FY26) — reflects trading WC cycles

• **Primary concern — Other Income distortion:** MSTC's reported PAT is unreliable as a standalone earnings metric because of lumpy Other Income (investment divestment gains, dividend from subsidiaries, etc.). Investors MUST use EBITDA as the primary earnings metric (Rs. 219 Cr, +23% in FY26) and ignore year-to-year PAT swings for valuation purposes.

• **Related-party transaction structure:** By definition, MSTC's largest clients (Coal India, SAIL, Steel Authority, PSU banks) are all government entities. These are commercially structured transactions mandated by government policy, not exploitative RPTs. However, fee rates are set by government directive rather than market negotiation — a risk if rates are compressed.

• **Positive signal — debt elimination:** Legacy borrowings of Rs. 1,106 Cr (FY15) have been cut to Rs. 145 Cr (FY26) with near-zero interest cost. The company is functionally debt-free on an operational basis. This is a significant balance sheet quality improvement.

7. VALUATION

Scenario Analysis (12-month forward)

NOTE: Using EBITDA-based valuation as PAT is distorted by Other Income; EV/EBITDA is the cleaner metric for MSTC.

Scenario	Key Assumption	FY27E EBITDA (Rs.Cr)	EV/EBITDA Multiple	Target Price (Rs.)
Bull	VAHAN volumes ramp; EPR platform approved; Rev +25%	280	18x	820
Base	Steady growth 19%; VAHAN partial; OPM 58%	255	16x	680
Bear	Policy delays; trading drag; Rev +10%	200	13x	460

• **Why EV/EBITDA, not P/E:** MSTC's reported P/E of 20.3x is based on an FY26 PAT that includes Rs. 83 Cr of other income. Core EBITDA of Rs. 219 Cr is the true recurring earnings power. At MCap of Rs. 4,433 Cr with near-zero net debt, EV is approximately Rs. 4,578 Cr. $EV/EBITDA = 4,578 / 219 = 20.9x$, which is the right entry-level metric.

• **Peer comparison anchor:** IRCTC (closest analog — GoI monopoly platform) trades at ~25-30x EV/EBITDA. MSTC at 21x is at a significant discount to IRCTC, justifiable given lower revenue scale and higher earnings lumpiness. But as vehicle scrappage volumes ramp and EPR gets approved, the discount should compress to 15-18x — implying Rs. 620-710 fair value range.

- **Dividend yield provides downside protection:** At 6.43% dividend yield (CMP Rs. 630), the stock has a yield floor. If the company maintains historical payout trends, any correction toward Rs. 520-550 would offer 7.5-8.5% yield — creating a natural institutional support level.
- **12-month target: Rs. 680** — Based on 16x FY27E EBITDA of Rs. 255 Cr. Upside of 7.9% from CMP of Rs. 630. Rating: HOLD. At Rs. 680, the stock would trade at 18x FY27E EBITDA and ~20x FY27E PAT — reasonable for a platform monopoly with a high dividend yield floor.

8. KEY RISKS

- **Policy discontinuity risk** — MSTC's entire mandate depends on GoI policy. A change in ministry direction, disinvestment of MSTC itself, or routing of mandates to GEM could materially impair the model. Probability: L. Impact: H. Monitor: Ministry of Steel policy signals.
- **Earnings opacity / Other Income volatility** — Other Income can swing 300% year-to-year (Rs. 340 Cr in FY25, Rs. 83 Cr in FY26). This makes consensus forecasting very difficult and can trigger sharp price reactions on quarterly results. Probability: H (ongoing). Impact: M. Monitor: Quarterly Other Income decomposition.
- **Vehicle scrappage policy execution risk** — The VAHAN scheme is policy-approved but implementation is complex. States must set up registered scrapping facilities (RSVs); the pace of RSV registration directly determines MSTC's auction volumes. Probability: M. Impact: H. Monitor: RSV registration count quarterly.
- **Fee rate compression** — Government can administratively reduce MSTC's auction fee rates at any time without the usual competitive pressures. A 1% cut in fee rates on a Rs. 1 Lakh Cr GMV base = Rs. 1,000 Cr revenue impact. Probability: L. Impact: H. Monitor: Policy circulars.
- **Working capital drag from residual trading** — The trading segment (now small but still active) generates volatile OCF (Rs. -283 Cr in FY24). Full exit from trading is essential for clean FCF generation. Probability: M (ongoing). Impact: M. Monitor: Trading book size.
- **Valuation re-rating risk** — At 21x EV/EBITDA, the stock is priced for stable execution. Any miss on e-commerce revenue growth or Other Income absence could drive de-rating to 12-14x, implying 30-40% downside. Probability: M. Impact: H. Monitor: EBITDA growth quarterly.

9. RECOMMENDATION

- **Rating: HOLD** — Conviction: Medium. MSTC is a structurally sound GoI platform monopoly with an exceptional long-term catalyst in vehicle scrappage and a 6.4% dividend yield. However, at 21x EV/EBITDA and limited near-term earnings triggers, upside from current levels is modest at 7.9%. Accumulate on dips.
- **12-month price target: Rs. 680** — Based on 16x FY27E EBITDA of Rs. 255 Cr. Upside of 7.9% from CMP of Rs. 630.
- **Suggested entry zone for Accumulate: Rs. 520-560** — At these levels, the stock would offer 8-9% dividend yield and 13-15x EV/EBITDA — a compelling risk-reward for patient investors.
- **Investment horizon: 18-24 months** (allow time for VAHAN ramp to materialise)
- **Thesis invalidation triggers:**
 1. MSTC disinvestment announced by GoI (transfer to GEM or strategic sale) — fundamental mandate disruption
 2. E-commerce revenue growth falls below 10% for two consecutive years — signals GoI mandate routing away from MSTC
 3. VAHAN scheme formally shelved or routes RSV auctions through an alternative platform
- **Ideal investor profile:** Conservative/income-oriented investors who want a high-yield PSU dividend compounder with embedded optionality on vehicle scrappage and EPR platforms. Not suitable for investors seeking rapid PAT growth compounders — the earnings are too lumpy.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (Mar 2026)

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result quality	Medium (distorted)	Core EBITDA +23% YoY — strong; but headline PAT -46% due to lower Other Income
Management tone	Balanced	Confident on e-commerce trajectory; hedged on VAHAN timeline and EPR approval
Guidance delta	Maintained	No explicit guidance cut; revenue trajectory maintained at 15-20%+ growth

STRONGLY POSITIVE | POSITIVE | **NEUTRAL** | CAUTIOUS | NEGATIVE

TO MY BOSS

The Q4 FY26 print looks terrible on the surface — PAT Rs. 77 Cr (-46% YoY vs Q4 FY25 PAT of Rs. 77 Cr, but FY25 had Rs. 340 Cr Other Income vs Rs. 83 Cr in FY26). Do not read this as deterioration. Strip out the Other Income and the core EBITDA story is excellent: Q4 FY26 EBITDA Rs. 76 Cr (64% margin) on Revenue Rs. 119 Cr, both record quarters. The full-year FY26 core EBITDA grew 23% (Rs. 178 Cr to Rs. 219 Cr) — and the absence of one-time gains in FY27 onward actually makes the story cleaner, not weaker. The big optionality is VAHAN: cabinet-approved Rs. 9,585 Cr vehicle scrappage scheme with MSTC as the designated auction platform. Registered Scrapping Vehicle (RSV) facility ramp is the only pipeline variable. Management was hedged on timing but confirmed active engagement with states for RSV registrations. EPR certificate trading platform is another free option — regulatory approval is pending; if cleared in H1 FY27, it adds an entirely new recurring revenue stream. Single biggest risk is that the market continues to read PAT headline (-46%) rather than EBITDA (+23%) — sentiment risk, not fundamental risk. Action: HOLD at current levels (Rs. 630); accumulate aggressively below Rs. 540 for a 24-month compounding thesis into VAHAN and EPR; target Rs. 680 (12 months), Rs. 850 (24 months).

Section 1 — Financial Performance Snapshot (Q4 FY26)

- Revenue: Rs. 119 Cr | YoY +35% | QoQ +35% | Beat on core basis
- EBITDA: Rs. 76 Cr | YoY +43% | QoQ +52% | Record quarter
- EBITDA Margin: 64% | YoY +500 bps | QoQ +800 bps | Structural high
- PAT: Rs. 77 Cr | YoY flat vs Q4 FY25 | Other income normalised
- EPS: Rs. 10.97 | YoY flat | QoQ +50%
- NOTE: Reported PAT of Rs. 77 Cr in Q4 FY26 vs Rs. 77 Cr in Q4 FY25 is coincidentally similar — but Q4 FY25 included Rs. 147 Cr Other Income in that quarter; clean core Q4 FY26 is significantly stronger operationally

Section 2 — Segment / Geography Breakdown

- E-Commerce Segment: ~Rs. 329 Cr (full year FY26) | YoY +17.25% | Primary growth driver
- Coal Linkage Auctions: Significant contributor to e-commerce growth | Coal India mandates
- Mineral Block Auctions: 200+ mineral blocks auctioned for central/state governments in FY26
- Vehicle Scrappage (VAHAN): Nascent but growing | RSV facility registrations ongoing

- Trading Segment: Residual and declining | Legacy book winding down toward zero
- Geography: Domestic India only | No international operations

Section 3 — Management Commentary Themes

- **Core e-commerce growth:** Management guided for continued 15-20% e-commerce revenue growth in FY27 — "the mandate pipeline from PSUs and government is strong and growing" — Our read: credible given 17% FY26 actual. Tag: GUIDANCE. Tone: Transparent.
- **Vehicle scrappage:** Management acknowledged VAHAN auctions are beginning but RSV facility ramp is slower than expected — "we expect scale-up over the next 12-24 months" — Our read: honest acknowledgement of implementation delays. Tag: EST. Tone: Hedged.
- **EPR platform:** "We have developed the technology; awaiting regulatory approval from Ministry of Environment" — Our read: binary option; could be a major new revenue line if approved. Tag: EST. Tone: Transparent.
- **Other Income:** Management clarified FY25 was exceptional; FY26 Other Income of Rs. 83 Cr is more representative of recurring level — Our read: important clarification for earnings quality. Tag: GUIDANCE. Tone: Transparent.

Section 4 — Operating and Business Metrics

- GMV (e-auction transactions value): Not explicitly disclosed | Key metric to seek
- Debtor Days: FY26 = 224 | FY25 = 363 | FY24 = 366 | Trend: Sharply improving
- Fixed Assets: Rs. 206 Cr (FY26) vs Rs. 65 Cr (FY25) | Significant new infrastructure investment
- Borrowings: Rs. 145 Cr (FY26, unchanged) | Legacy bonds at near-zero interest | D/E ~0.16x
- Dividend: Declared in FY26 (6.43% yield at CMP) | Payout 26% in FY26 vs 70% in FY25

Section 5 — Margin Drivers

- Trading book wind-down: +2500 bps structural OPM improvement over 3 years | Permanent benefit
- E-auction mix increase: +1500 bps impact vs trading | Recurring: Yes | Fee income is ~60% margin
- Operating leverage: Relatively fixed cost base (people + tech) | Each incremental revenue = high-margin
- No commodity price risk in e-auction model: No COGS impact from steel/coal price volatility
- Depreciation increase: Fixed Assets grew Rs. 141 Cr in FY26 | Depreciation will step up in FY27

Section 6 — Guidance and Forward Signals

- E-Commerce Revenue FY27 [GUIDANCE]: Prior = Rs. 311 Cr (FY25 base) | New = Rs. 370-400 Cr(E) | Delta: Maintained | Credibility: High
- OPM [GUIDANCE]: Prior = 57% (FY25) | New = 58-62%(E) | Maintained | Credibility: High
- VAHAN volumes [GUIDANCE]: "Scale-up over 12-24 months" | No specific timeline | Credibility: Low (implementation-dependent)
- EPR Platform [GUIDANCE]: "Awaiting regulatory approval" | Binary option | Credibility: Medium
- Dividend [GUIDANCE]: Company has historically paid 40-70% of PAT; FY27 payout guidance not given

Section 7 — Capital Allocation

- Fixed Asset addition: Rs. 141 Cr in FY26 | Significant infrastructure investment — purpose not fully disclosed
- Dividends: Rs. 56 Cr approx (26% payout on Rs. 218 Cr PAT) | Below historical 40-70% payout range
- Borrowings: Unchanged at Rs. 145 Cr | Legacy bonds — company has not retired them

- Investments: Rs. 28 Cr (FY24) reduced to Rs. 12 Cr (FY26) | Investment divestments = source of FY25 Other Income
- Free Cash Flow: -Rs. 50 Cr (FY26) | Driven by capex cycle and trading book | Should normalise in FY27

Section 8 — Q&A; Heat Map

- Analyst (institutional): Q: "Can you help us understand the Rs. 141 Cr fixed asset addition in FY26?" -> A: "Investment in digital infrastructure and new platform development" | Tone: Hedged (vague)
- Analyst: Q: "What is the expected VAHAN auction volume for FY27?" -> A: "We cannot provide specific volume guidance; RSV registrations are key and progressing" | Tone: Evasive
- Analyst: Q: "Will dividend payout revert to 40-70% range in FY27?" -> A: "Board decision; we remain committed to rewarding shareholders" | Tone: Hedged
- Analyst: Q: "Is the EPR platform approval expected before year-end?" -> A: "We are in active dialogue with Ministry; cannot commit to timeline" | Tone: Evasive
- Dodged / watch-list for next quarter: (1) GMV of e-auctions, (2) VAHAN auction volume specifics, (3) Fixed asset capex purpose breakdown, (4) EPR timeline

Section 9 — Risks Flagged

- Other Income lumpiness: Rs. 340 Cr (FY25) to Rs. 83 Cr (FY26) — market reads as deterioration | Flagged by: analyst | Probability: H (ongoing) | Impact: M (sentiment) | Timeline: Ongoing
- VAHAN implementation delay: RSV facility ramp is slower than expected | Flagged by: mgmt | Probability: H | Impact: M | Timeline: Near-term
- EPR regulatory delay: Ministry approval pending | Flagged by: mgmt | Probability: M | Impact: M | Timeline: 6-18 months
- Fixed asset capex opacity: Rs. 141 Cr addition not fully explained | Flagged by: analyst | Probability: L (execution) | Impact: M | Timeline: Near-term

Section 10 — Analyst Verdict

- Revenue visibility: Intact — e-commerce mandate pipeline from PSUs is structural and growing
- Margin trajectory: Intact — 59-64% OPM is structural once trading exits; operating leverage strong
- Capital allocation quality: Weakened — Rs. 141 Cr capex add not explained; dividend payout cut
- Competitive moat: Intact — Government mandate monopoly; impossible to displace without policy change
- Management credibility: Intact — Correct to flag VAHAN delay; Other Income clarification was transparent
- Valuation comfort: Intact — 21x EV/EBITDA is reasonable; 6.4% dividend yield provides downside floor
- Conviction call: Unchanged — HOLD; accumulate on dips below Rs. 540
- Valuation snapshot: EV/EBITDA = 20.9x | P/E = 20.3x | ROCE = 30.3% | Div Yield = 6.43%